

EQUITY & CAPITAL MARKETS RESEARCH

Meesho Limited

An Initial Public Offering Analysis

Corporate Finance · Valuation · Economics · Capital Markets

NSE / BSE: MEESHO · Listed 10 December 2025 · Sector: Value E-commerce

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16 data visualisations, all built from primary filings - timeline, revenue, loss decomposition, unit economics, cash flow, cost structure, users, subscription, valuation, listing, Porter's Five Forces, DCF sensitivity and a risk matrix.

Executive Summary

Meesho Limited debuted on the Indian bourses on 10 December 2025 in one of the most keenly anticipated new-economy listings of the year, the first horizontal e-commerce platform to go public in India, ahead of larger rivals Flipkart and Amazon. The **₹5,421 crore** book-built offering was priced at the top of its ₹105 - ₹111 band, valuing the company at roughly **₹50,096 crore (~US\$5.6 billion)**. The issue was subscribed **81.8 times** overall and rewarded allottees with a **46% listing-day premium**; six months on, the stock trades ~73% above its issue price, placing it among the rare 2025 debutants to have compounded rather than surrendered its listing gains.

Our analysis reaches a central, non-obvious conclusion: Meesho's headline FY25 net loss of ~₹3,942 crore dramatically overstates the economic reality of the business. Fully **~97% of that loss was one-time, non-operational** principally a ₹2,487 crore tax charge on the US-to-India "reverse-flip" and ₹1,346 crore of accelerated promoter ESOP and reorganisation costs. Stripped of these, the operating loss was a mere **~₹108 crore on ₹9,390 crore of revenue**, and the company was already **free-cash-flow positive**. The investable thesis, and the market's enthusiasm, rests on this distinction between accounting optics and underlying unit economics.

Investment Snapshot

Metric	Value
Issue price / price band	₹111 (band ₹105 - 111)
Total issue size	₹5,421.2 cr (Fresh ₹4,250 cr + OFS ₹1,171 cr)
Implied market capitalisation	≈ ₹50,096 cr (~US\$5.6 bn)
Price-to-Sales at issue (FY25)	≈ 5.3×
Overall subscription	81.76× (QIB 123.3× · NII 39.9× · Retail 19.9×)
Listing gain (10-Dec-2025)	+46% (₹162.5 vs ₹111)
Return vs issue (30-Jun-2026)	+73.2% (₹192.2) · 52-wk high ₹254.4
FY25 revenue / net loss (reported)	₹9,390 cr / (₹3,942 cr)
FY25 operating loss (ex-exceptionals)	≈ (₹108 cr)
FY25 free cash flow	+₹351 cr (positive)
Balance sheet	Net debt-free
Our stance	Constructive - quality franchise; watch valuation & path to profit

+73% total return vs issue — gains sustained, not just a debut pop

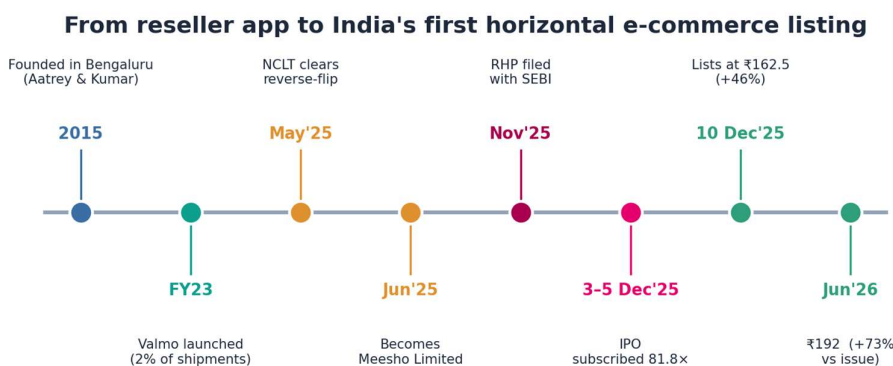


Figure 1 - Price journey from issue to current: a debut pop that has since been extended, not given back.

1. Company Background

Incorporated in 2015 and headquartered in Bengaluru, Meesho operates a **multi-sided technology platform** that intermediates India's value-conscious e-commerce economy by connecting four constituencies - consumers, sellers, third-party logistics partners, and content creators. Its consumer proposition is built around **"Everyday Low Prices"**, targeting the price-sensitive mass market of Tier-2, Tier-3 and Tier-4 India that legacy platforms, oriented toward higher average-order-value metropolitan buyers, have historically under-served.

The company monetises through a **zero-commission marketplace model**: rather than charging sellers a take on the sale, it earns revenue from ancillary services - order fulfilment, advertising, and data-driven seller insights - at an effective take rate of roughly 30-31% of logistics-and-advertising value billed. Two reporting segments frame the business: the core **Marketplace**, and **New Initiatives**, which houses the in-house logistics network (Valmo) and a nascent digital financial-services arm.



Source: Meesho RHP; NCLT Bengaluru; BSE/NSE

Figure 2 - From a 2015 reseller app to India's first horizontal e-commerce listing: the key milestones on the road to the December 2025 IPO.

1.1 Scale and Operating Footprint

For the twelve months ended 30 September 2025, the platform's operating scale was substantial:

- **234.2 million** annual transacting users close to ~90% of India's estimated online-shopper base.
- **706,471** annual transacting sellers, overwhelmingly small and long-tail merchants.
- **~183 crore** orders placed in FY25; order frequency has risen from 7.5× (FY23) to 9.7× (LTM).
- A remarkably lean cost of scale: only **2,082 full-time employees**, yielding an industry-leading GMV/employee of ~₹29.4 crore.

This asset-light architecture no owned inventory and, until recently, no owned logistics is the structural source of Meesho's cost advantage in low-average-order-value categories, where every rupee of fulfilment cost is decisive.

1.2 Promoters, Ownership and the "Reverse Flip"

The company is promoted by co-founders **Vidit Aatrey (Chairman & Managing Director)** and **Sanjeev Kumar**. A defining pre-IPO event was Meesho's **"reverse flip"**, the redomiciling of the group's holding entity from the United States (Meesho Inc.) to India (Meesho Limited), approved by the NCLT Bengaluru bench on 27 May 2025 and effective 21 June 2025. This transaction is central to interpreting the financial statements: it triggered a large one-time tax charge that dominates the FY25 loss (analysed in Section 4). It also situates Meesho within a broader capital-markets trend of Indian-origin, US-domiciled start-ups re-shoring ahead of a domestic listing - itself a signal of the deepening of India's public-market ecosystem.

Marquee pre-IPO investors include **SoftBank, Prosus, Elevation Capital, Peak XV Partners, Y Combinator, Venture Highway and Gemini Investments**. The Offer for Sale afforded these backers a partial, orderly exit;

notably, the OFS was pared from an initially proposed 17.57 crore shares to 10.55 crore, a decision that reduced insider selling pressure and can be read as a confidence signal.

2. Industry Analysis

Meesho's addressable opportunity is anchored in the sheer scale and low formalisation of Indian retail. India's total retail market is estimated at **₹83 trillion in FY25, projected to reach ₹123-135 trillion by FY30** (an 8 - 10% CAGR). Two structural vectors make this a compelling backdrop for a value-led, discovery-driven platform:

- **Formalisation.** Organised retail penetration is expected to climb from ~21% to ~33%, migrating US\$470-540 billion of spend into formal channels, with e-commerce capturing the majority at a 20-25% GMV CAGR.
- **Under-penetration and long-tail supply.** Per-capita consumption is only 15-20% of China's, and over 75% of retail supply in Meesho's core categories is unbranded/long-tail - precisely the assortment its zero-commission, low-AOV model is built to aggregate.

Within this TAM, Meesho's serviceable addressable market is estimated at ~₹33 trillion in FY25, rising to ₹51-56 trillion by FY30. The company already commands meaningful share in its anchor categories - Fashion (~21-23%), Home & Kitchen (~23-25%) and Beauty & Personal Care (~8-10%).

2.1 Competitive Landscape

Meesho competes against deep-pocketed incumbents - **Amazon, Walmart-owned Flipkart, Reliance's Ajio, and Myntra** - but occupies a differentiated niche. Where rivals compete on selection, speed and brand, Meesho competes on **affordability and reach**: an average order value of just ₹265.5 (H1 FY26), a platform charging sellers only ~₹59 per order, and the cheaper end of the price spectrum across Indian e-commerce. The Red Herring Prospectus benchmarks Meesho against a listed peer set spanning Swiggy, FirstCry (Brainbees), Nykaa (FSN E-Commerce), Eternal (Zomato), Vishal Mega Mart, Trent and Avenue Supermarts (DMart) - a heterogeneous group whose business models differ enough that peer-multiple comparison requires care (Section 5).

2.2 The Logistics Moat: Valmo

The single most consequential competitive development is the rise of **Valmo**, Meesho's asset-light, in-house logistics network. Valmo handled just **2% of shipments in FY23 but ~67% by Q2 FY26**, at a delivered cost of ₹32-34 per shipment - an estimated 1-11% below third-party alternatives. Because Valmo need not generate a standalone service margin (unlike an external 3PL that must clear a 15-20% EBITDA hurdle), its scale-up directly compresses Meesho's largest cost line and widens the competitive gap in exactly the low-ticket categories where fulfilment economics decide viability.

Rising per-order economics; Valmo now carries 2/3 of shipments

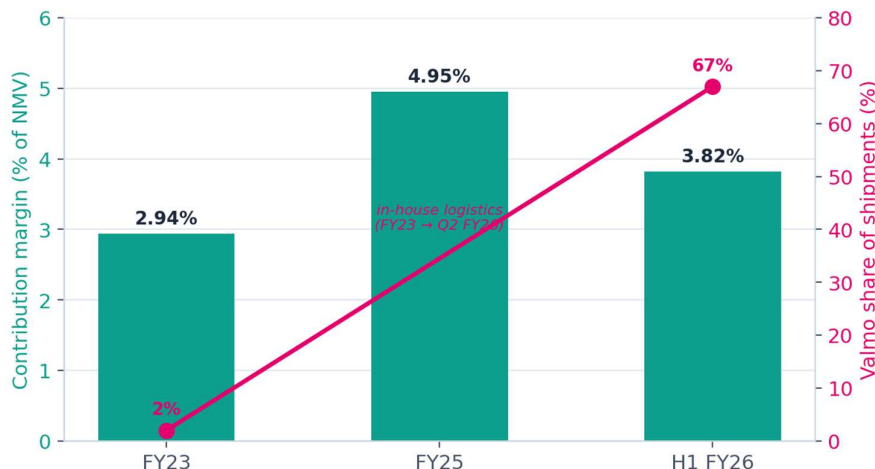


Figure 3 - Contribution margin has expanded as Valmo internalised two-thirds of shipments; the H1 FY26 dip reflects deliberate price pass-through to sellers, not cost inflation.

2.3 Competitive Structure: Porter's Five Forces

A Five-Forces lens clarifies why Meesho's value niche is more defensible than its thin margins might suggest. The binding constraint is **competitive rivalry**, which is high: Amazon, Flipkart (Walmart), Reliance's JioMart and fashion specialists Myntra and Ajio are all deep-pocketed. But most compete for the brand-conscious, higher-AOV urban buyer, leaving the unbranded, sub-₹300 long tail - Meesho's core - comparatively contested by weaker players.

Porter's Five Forces — Meesho

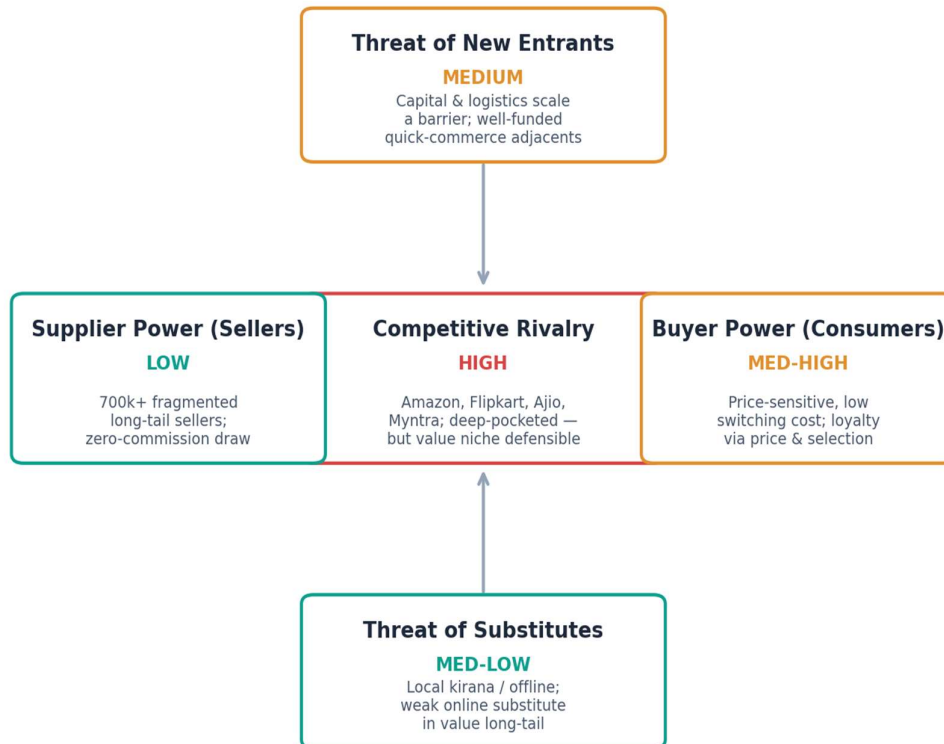


Figure 4 - Porter's Five Forces applied to Meesho. Low supplier power and a defensible value niche partly offset intense rivalry and high buyer price-sensitivity.

- **Supplier (seller) power - Low.** 700,000+ fragmented, long-tail sellers with no pricing leverage; the zero-commission model is a powerful acquisition draw that few rivals match.
- **Buyer power - Medium-High.** Consumers are intensely price-sensitive with near-zero switching costs; loyalty is bought with price and selection, not lock-in - a structural cap on monetisation speed.
- **Threat of new entrants - Medium.** The capital and logistics scale now required (Valmo handles ~67% of shipments) is a real barrier, but well-funded quick-commerce platforms are adjacent and could encroach.
- **Threat of substitutes - Medium-Low.** Local kirana and offline value retail remain alternatives, but offer no comparable online selection for the long-tail assortment Meesho aggregates.

3. Macroeconomic Environment

Timing is rarely incidental to IPO outcomes, and Meesho listed into an unusually benign macro configuration. In the words of the RBI Governor, the Indian economy had entered a rare **"Goldilocks" phase** - robust growth alongside subdued inflation - precisely as the offering came to market in the first week of December 2025.

Meesho listed into a rare 'Goldilocks' macro window



Source: RBI MPC (Dec-2025); MoSPI

Figure 5 - The macro backdrop at listing: strong growth, record-low inflation, and an easing rate cycle.

3.1 Growth, Inflation and Rates

- **Growth.** Real GDP expanded 8.2% in Q2 FY26 (Jul-Sep 2025) - the fastest in six quarters - buoyed by festival demand, GST rationalisation and softer crude. The RBI projected ~7.3% growth for FY26.
- **Inflation.** Headline CPI averaged ~2.2% in Q2 FY26 and touched 8-year lows, aided by a prolonged food-price decline and the September 2025 GST 2.0 rate cuts (which touched ~11.4% of the CPI basket).
- **Rates.** On 5 December 2025 - the very week Meesho's book closed - the RBI cut the repo rate 25 bps to 5.25% under a neutral stance, extending an easing cycle that lowers discount rates and lifts appetite for long-duration, growth-oriented equities.

The external accounts reinforced the picture: the current-account deficit narrowed to 0.2% of GDP, and gross FDI inflows stayed strong. For a company like Meesho - a consumption-levered, long-duration growth asset whose valuation is sensitive to both the discount rate and the health of the mass-market consumer - this combination of falling rates, disinflation and resilient demand was close to an ideal listing window.

3.2 The Primary-Market Cycle

2025 was a landmark year for Indian primary markets, with **over 100 mainboard IPOs raising ~₹1.8 trillion**. Yet the cycle was maturing rather than frothy: median listing-day gains compressed sharply to **3.8% (from 15.2% in 2024)**, and by year-end ~59% of 2025 debutants traded below their listing price. December alone saw eight major offerings raise over ₹30,000 crore. That Meesho listed into this crowded, discriminating tape and still delivered a 46% pop is itself analytically telling - it points to genuine, idiosyncratic demand for the franchise rather than a passive beneficiary of a rising tide.

4. Financial Statement Analysis

Meesho's financials tell a story of **hyper-growth converging on profitability**, obscured in FY25 by a large but non-recurring accounting event. We separate the signal from the noise below.

4.1 Revenue Trajectory

Revenue from operations compounded at ~28% annually, from ₹5,734.5 crore in FY23 to ₹9,389.9 crore in FY25, and grew a further 29% year-on-year in H1 FY26 to ₹5,577.5 crore. Net Merchandise Value rose 44% year-on-year to ₹19,194 crore in H1 FY26 - evidence that top-line momentum is being driven by genuine volume expansion (orders and users), not merely price.

Top-line scaled ~28% CAGR to near ₹10,000 cr

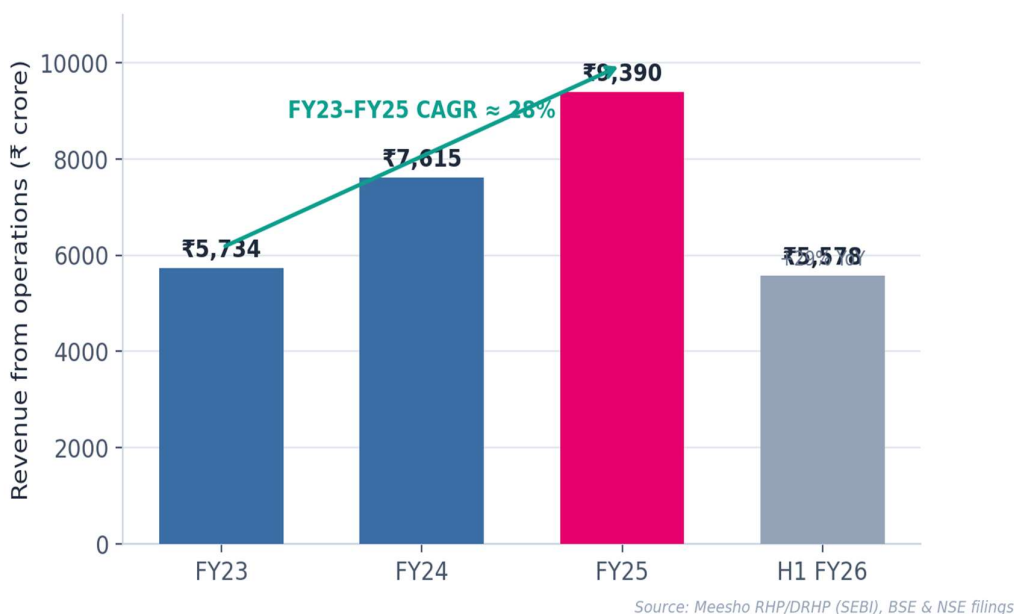


Figure 6 - Revenue from operations, FY23-H1 FY26.

4.2 The FY25 Loss: Optics versus Economics

Meesho's reported net loss trajectory looks alarming in isolation - a loss of ₹1,671.9 crore in FY23 narrowing sharply to ₹327.6 crore in FY24, then ballooning to ~₹3,941.7 crore in FY25. The FY25 spike, however, is almost entirely an artefact of the reverse-flip:

- **₹2,487 crore** - a one-time tax charge on the business combination of Meesho Inc. into Meesho Limited.
- **₹1,346 crore** - reorganisation costs and accelerated vesting of promoter ESOPs (largely non-cash).
- **≈ ₹108 crore** - the actual underlying operating loss once these exceptional items are excluded.

Put differently, **~97% of the FY25 "loss" never touched the operating business**. On an adjusted basis the EBITDA margin was only marginally negative (~ -0.4%), and management/analyst reconciliations indicate the company would have been broadly breakeven-to-modestly-profitable at the operating level. This is the crux of the investment case.

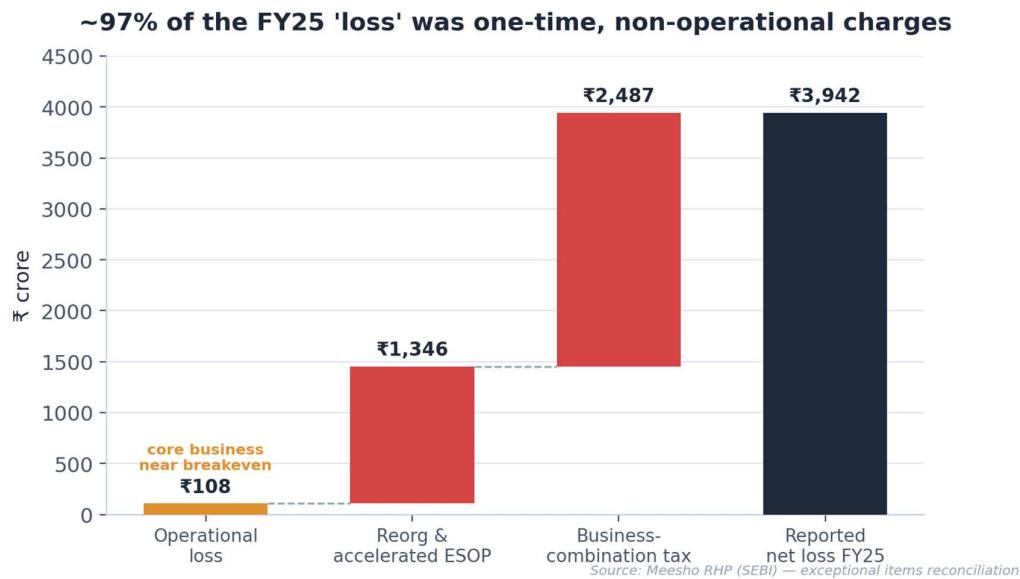


Figure 7 - Decomposition of the FY25 reported net loss into operational and one-time components.

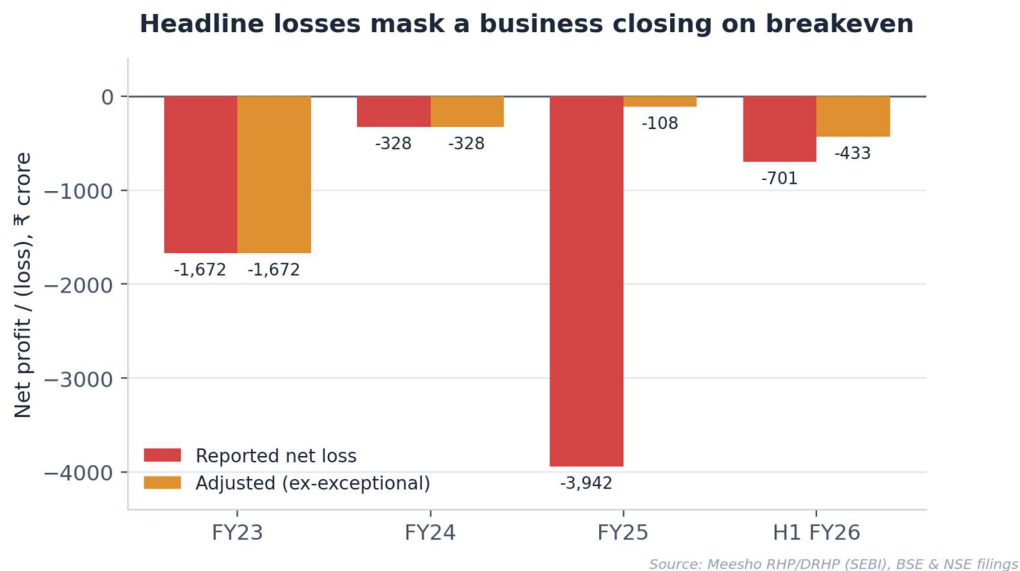


Figure 8 - Reported versus adjusted (ex-exceptional) net loss: the adjusted line reveals a business closing on breakeven.

4.3 Cash Flow - the Tell

Where accounting earnings can be distorted by non-cash charges, cash flow is harder to dress up - and here Meesho's signal is unambiguous. The company swung from a **₹2,336 crore free-cash outflow in FY23 to positive FCF of ₹304 crore (FY24), ₹351 crore (FY25) and ~₹580 crore (LTM Sep-25)**. Sustained positive free cash flow at this scale, on a net debt-free balance sheet, is uncommon among India's scaled consumer-internet names and validates the capital-efficiency of the asset-light model.

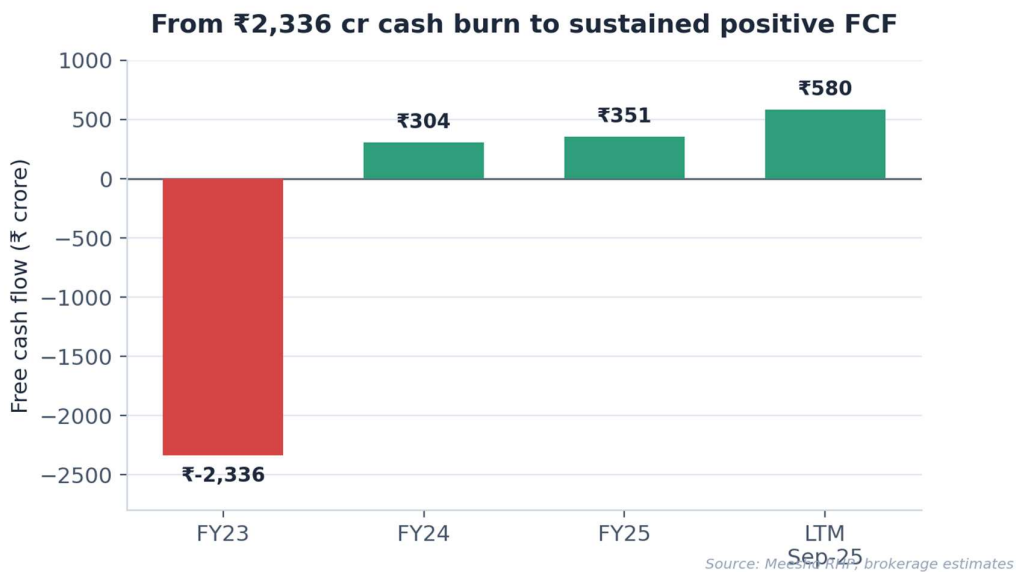


Figure 9 - Free cash flow turnaround, FY23-LTM Sep-25.

4.4 Cost Structure and Unit Economics

Total FY25 expenditure was ₹10,009 crore, of which **logistics and fulfilment alone accounted for ~73% (₹7,352 crore)** - underscoring why the Valmo cost lever is so strategically important. Advertising (₹644 crore) and employee costs (₹848 crore) are the next largest lines. At the unit level, contribution margin improved from 2.94% (FY23) to 4.95% (FY25) - roughly ₹8.09 of contribution per order - before dipping to 3.82% in H1 FY26 as Meesho deliberately passed cost savings through to sellers to defend affordability. That dip is a strategic choice, not a loss of cost control, but it does bear watching.

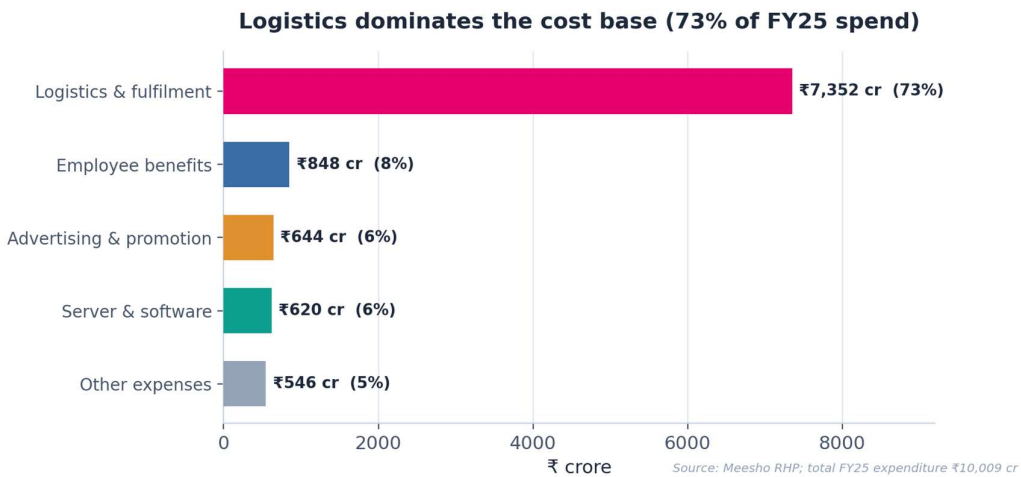


Figure 10 - FY25 operating cost structure; logistics dominates the base.

234 mn annual users — ~90% of India's online shopper base

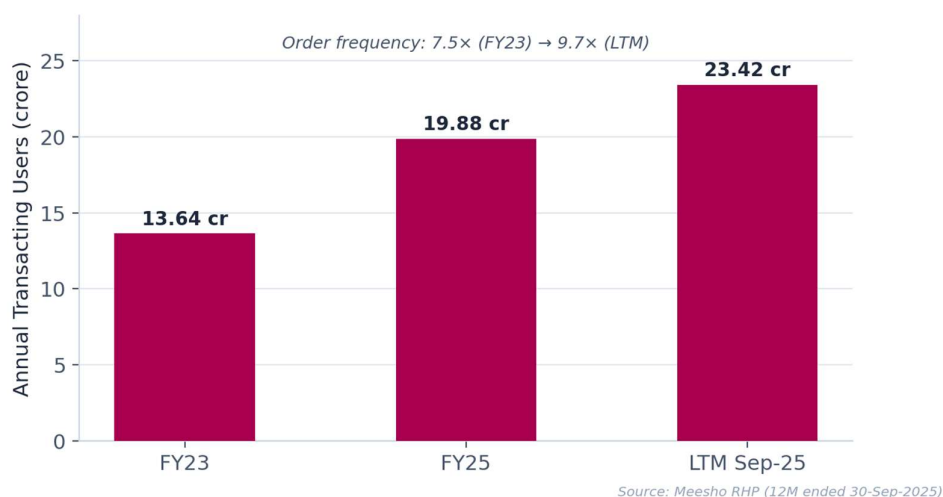


Figure 11 - User scale and engagement: 234 mn annual transacting users at rising frequency.

4.5 Financial Ratio Analysis

The ratios below are computed directly from the reconciled statements (and reproduced as live formulas in the companion Excel model). Read together, they tell a consistent story: **rapid top-line growth, a structurally improving cost base, and margins still a hair below breakeven** once the FY25 one-time items are stripped out.

Ratio	FY23	FY24	FY25	H1 FY26
Revenue growth (YoY)	-	32.8%	23.3%	29.4%
Revenue CAGR (FY23-FY25)			28.0%	
Contribution margin (% NMV)	2.94%	-	4.95%	3.82%
Net margin - reported	(29.2%)	(4.3%)	(42.0%)	(12.6%)
Net margin - ex-exceptionals	-	-	(1.2%)	(7.8%)
Logistics cost / revenue	84.0%	77.8%	78.3%	79.4%
Advertising / revenue	16.2%	6.0%	6.9%	10.9%
FCF margin	(40.7%)	4.0%	3.7%	-
Take rate (% of value billed)	-	-	~30-31%	-
Contribution per order (₹)	-	-	8.09	-
Net debt / equity	-	-	Net cash	Net cash
P / Sales (at issue ₹111)			5.3x	

How to read this: the reported net margin of (42.0%) in FY25 is an accounting artefact - strip the ₹2,487 cr reorganisation tax and ₹1,346 cr ESOP/reorg charges and the **ex-exceptional net margin is only about (1.2%)**. Contribution margin has risen from 2.94% to ~5% as Valmo internalised logistics, even though logistics still consumes ~78% of revenue. Advertising intensity fell sharply after FY23 as organic demand took hold, then ticked up in H1 FY26 with festive-season investment.

A deliberate omission: conventional return ratios (ROE, ROCE, ROA) are **not meaningful** for FY25 and are therefore not reported here. The company is loss-making, and the reverse-flip restructuring distorted the equity and tax base in the same year - any return-on-equity figure would divide a one-time-inflated loss by a restructured

capital base and mislead rather than inform. This is itself an analytical point: Meesho must be judged on unit economics, cash generation and the trajectory to breakeven, not on backward-looking return metrics.

5. Valuation

Valuing a scaled but not-yet-profitable platform demands methods robust to negative near-term earnings. We triangulate **relative (multiples) and intrinsic (DCF)** approaches, and read the IPO price against both.

5.1 Relative Valuation

At the ₹111 issue price, Meesho was valued at ~₹50,096 crore, or **≈ 5.3× FY25 revenue from operations**. Because Meesho is loss-making, earnings multiples (P/E) are not meaningful, so Price-to-Sales / EV-to-Revenue is the appropriate lens. Against consumer-internet peers, this is a visible discount: Swiggy traded around ~5× sales but with deeper losses; Eternal (Zomato) has typically commanded upward of ~10-11× sales on the strength of proven profitability; and Flipkart's private-market value implies roughly ~15× revenue.

Meesho priced at a discount to internet-platform peers

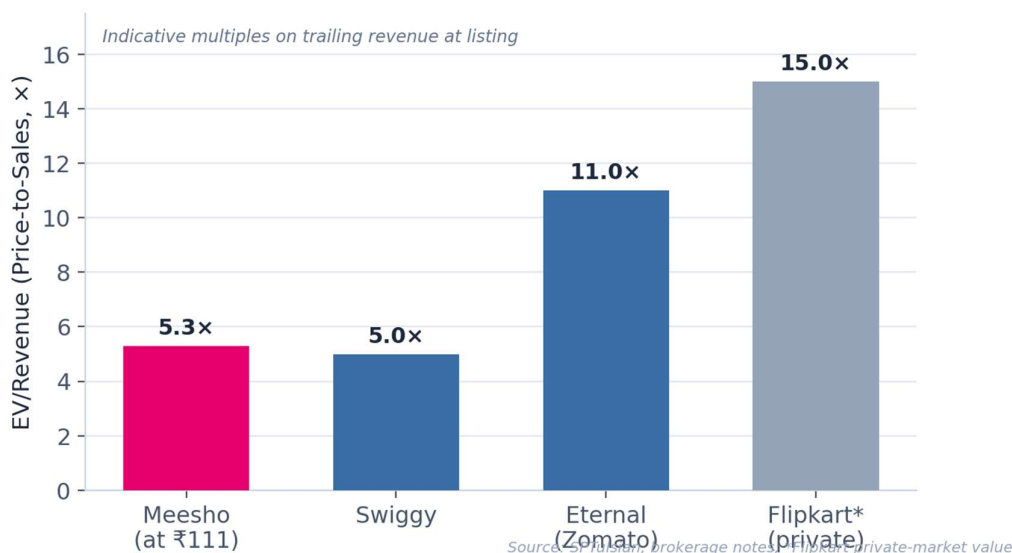


Figure 12 - Indicative Price-to-Sales multiples at listing. Meesho priced at a discount to internet-platform peers, reflecting its earlier position on the profitability curve.

The interpretive nuance is that Meesho's discount is partly justified - it is earlier in its profitability journey than Eternal - but the gap is arguably wider than the fundamentals warrant given Meesho's positive free cash flow, ~28% growth and category leadership. Profitable brick-and-click retailers such as DMart and Trent trade on very different (earnings-based) multiples and are imperfect comparators for a pure-play marketplace.

Peer comparison. The table below sets Meesho against the most relevant listed consumer-internet and value-retail names on a current-snapshot basis (~June 2026).

Company	Business model	Revenue (₹ cr)	Profitable?	Mkt cap (₹ cr)	P/S
Meesho	Value marketplace	9,390 (FY25)	Near-BE	~86,750	~9.2x
Eternal (Zomato)	Food + quick-comm	~20,000 (FY26E)	Yes	~2,40,000	~12x
Swiggy	Food + quick-comm	15,227 (FY25)	No	~58,000	~3.8x
Nykaa (FSN)	Beauty & fashion	10,022 (FY26)	Yes	88,500	~8.8x
FirstCry (Brainbees)	Kids & baby	~7,660 (FY25)	Marginal	11,772	~1.5x
DMart (Avenue)	Value retail	~59,000 (FY25)	Yes	~2,70,000	~4.6x

Reading the table: at today's price Meesho trades at $\sim 9\times$ sales - broadly in line with profitable Nykaa ($\sim 8.8\times$) and below Eternal ($\sim 12\times$), but well above asset-heavy DMart and the struggling FirstCry. The key context is that **at the ₹111 issue price Meesho's P/S was just $5.3\times$** ; the stock has since re-rated by roughly three sales-turns as the market gained confidence in the breakeven trajectory. Revenue years differ by company (labelled); Swiggy and Eternal figures are estimates. Sources: Screener.in, exchange data and company filings, $\sim$ June 2026.

5.2 Intrinsic Valuation (Illustrative DCF)

To cross-check the market's verdict, we build a transparent ten-year discounted-cash-flow model (reproduced with live formulas in the companion Excel workbook). Because Meesho is asset-light and net-cash, we discount free cash flow to the firm; revenue is grown at a fading rate and free-cash-flow margin is ramped as operating leverage and Valmo scale accrue. The model is intended to be flexed by the reader, not read as a point estimate.

DCF assumption	Base case
Base-year revenue (FY25)	₹9,390 cr
Explicit forecast horizon	10 years (FY26E-FY35E)
Revenue growth (fades from $\rightarrow$ to)	30% $\rightarrow$ 10%
FCF margin (ramps from $\rightarrow$ to)	2% $\rightarrow$ 20%
Net cash	₹2,500 cr
Shares outstanding	451.3 crore
WACC (base)	13.0%
Terminal growth (g)	5.0%
Implied base-case fair value	$\approx$ ₹138 / share

Because the projected cash-flow stream is independent of the discount rate and terminal growth, those two assumptions can be flexed independently - the essence of the sensitivity grid below. Across a plausible WACC range of 12-16% and terminal growth of 3-6%, implied fair value spans roughly **₹81 to ₹185 per share**.

DCF sensitivity — implied fair value per share (₹)



Illustrative 10-yr DCF; corroborated by Choice Equity ₹160-185

Base case (boxed): WACC 13%, g 5% $\rightarrow$ ₹138 · issue ₹111 · current ₹192

Figure 13 - DCF sensitivity: implied fair value per share across WACC and terminal-growth assumptions. Base case (boxed) ₹138; the optimistic corner reaches ₹185, matching the top of the independent Choice Equity range.

WACC \ g	3.0%	4.0%	5.0%	5.5%	6.0%
12.0%	₹136	₹149	₹164	₹174	₹185
13.0%	₹118	₹127	₹138	₹145	₹153
14.0%	₹103	₹110	₹118	₹123	₹129
15.0%	₹91	₹97	₹103	₹106	₹111
16.0%	₹81	₹85	₹90	₹93	₹96

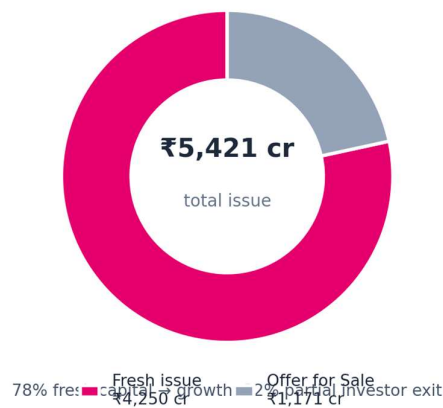
Reconciling the three reference points. The ₹111 issue price, our ₹138 base case, and the ~₹192 current price tell a coherent story. At issue, the stock was offered roughly **20% below base-case intrinsic value** - a genuine margin of safety. The optimistic corner of the grid (WACC 12%, g 6%) reaches ₹185, coinciding with the top of the independent three-stage DCF from Choice Equity Broking (₹160-185) - corroboration that the bull case is not fanciful. The current ₹192, however, sits above even that corner: the market is now embedding assumptions at least as aggressive as our optimistic scenario - sustained high-teens-plus growth and a march toward ~20% terminal FCF margins. The value is heavily back-ended into the terminal period, which is precisely why Meesho is best understood as a **long-duration growth asset**.

Valuation verdict: at ₹111 the IPO was sensibly - arguably conservatively - priced, offering a cushion to base-case value; management left something on the table (the 46% pop), prioritising a healthy aftermarket and quality institutional ownership. At today's ~₹192, that cushion has closed and then some: the risk/reward is materially less favourable than at listing, and the burden now falls squarely on execution against those aggressive embedded assumptions.

6. IPO Pricing and Structure

The offering was a ₹5,421.2 crore book-built issue combining a ₹4,250 crore fresh issue with a ₹1,171.2 crore Offer for Sale. Crucially, **78% of the proceeds are primary (fresh) capital** that flows to the company for growth - not a promoter cash-out - which materially improves the quality of the offer.

A growth-led issue, not a promoter cash-out



Source: Meesho RHP

Figure 14 - Fresh issue versus OFS. A growth-led capital raise.

6.1 Offer Terms

Term	Detail
Price band / final price	₹105-₹111 / ₹111 (face value ₹1)
Bidding window	3-5 December 2025
Lot size / min. retail outlay	135 shares / ₹14,985
Allocation (net offer)	QIB 75% · NII 15% · Retail 10%
Book-running lead managers	Kotak Mahindra Capital, Morgan Stanley, J.P. Morgan, Axis Capital, Citigroup
Registrar	KFin Technologies
Listing date / exchanges	10 December 2025 · NSE & BSE

6.2 Use of Proceeds

The ₹4,250 crore of fresh capital is earmarked for growth-oriented, largely intangible investment - a positive signal relative to issues used to retire debt or fund working capital:

- **₹1,390 crore** - cloud infrastructure (phased: ₹610 cr each in FY27 and FY28, ₹170 cr in FY29).
- **₹1,020 crore** - marketing and brand-building, chiefly in smaller towns.
- Machine-learning / AI talent and technology development (Meesho AI Labs).
- Inorganic growth (acquisitions) and general corporate purposes.

6.3 The Anchor Book - a Quality Signal

Meesho mobilised **₹2,439 crore from anchor investors** ahead of the issue - the calibre of which is itself an endorsement. The book was led by **SBI Mutual Fund** (across its Balanced Advantage, Focused and Innovative Opportunities schemes), with participation from the **Government of Singapore, Monetary Authority of Singapore, Fidelity, Tiger Global, Goldman Sachs, BlackRock, Franklin Templeton, Amansa and Kora**. A deep, long-only anchor list of this quality typically presages stable post-listing ownership and lower volatility - and helps explain the 75% QIB allocation, a hallmark of large, institution-anchored technology listings.

7. Subscription and Listing Performance

7.1 Subscription

Demand was broad-based and institutionally led. The issue was subscribed **81.76× overall**, powered by a **123.3× QIB book** (ex-anchor). Notably, both non-institutional (39.9×) and retail (19.9×) categories were also heavily oversubscribed - the near-uniform strength across segments signalling conviction that extended well beyond institutions. The grey-market premium corroborated the enthusiasm, indicating a ~37-44% expected premium through the subscription window.

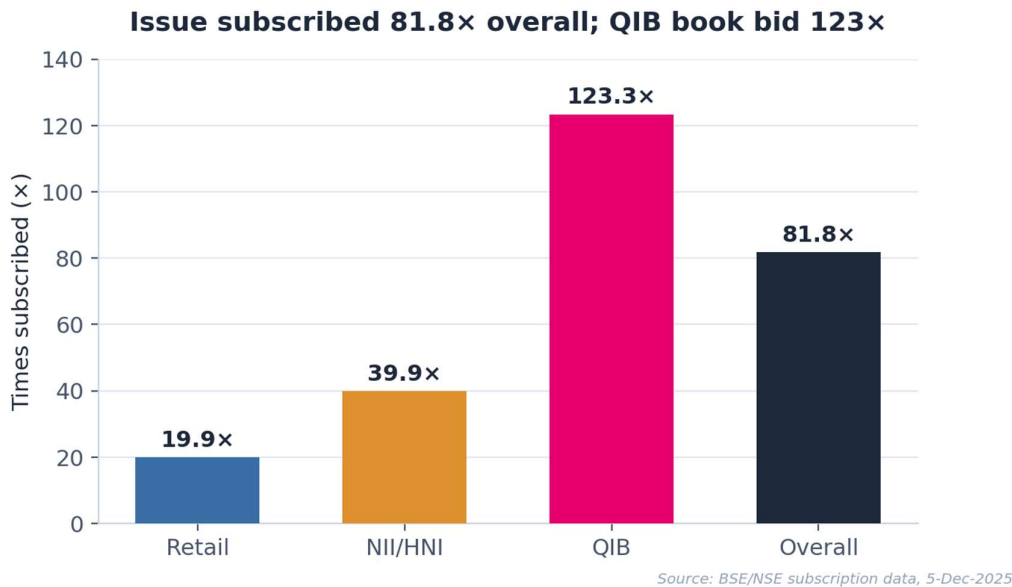


Figure 15 - Subscription by investor category; the issue drew demand across the board.

7.2 Listing and Aftermarket

Meesho listed on 10 December 2025 at ₹162.5 on the NSE - a **46% premium** to the ₹111 issue price, and among the stronger large-cap consumer-internet debuts in recent memory. More telling than the pop is the aftermarket: as of 30 June 2026 the stock trades at ~₹192.2, **up ~73% versus issue and ~18% above its listing price**, having touched a 52-week high of ₹254.4. This durability is the exception, not the rule, for the 2025 cohort - a majority of which surrendered their listing gains - and distinguishes Meesho as a case of **sustained value creation rather than a one-day event**.

GMP as a predictor. An instructive footnote: the grey market implied a listing near ₹140-160, yet the shares opened at ₹162.5 and have since risen further. GMP, a sentiment gauge rather than a valuation tool, materially under-estimated realised demand here - a useful reminder of its limits.

8. Investment Thesis

8.1 Why the IPO Was Attractive

- **Category leadership in a structurally growing market.** Meesho leads value commerce in a ₹83 trillion retail market formalising toward e-commerce, with 75%+ of supply in the long-tail/unbranded segment that legacy platforms under-serve.
- **A self-reinforcing cost moat.** Valmo's rise to ~67% of shipments internalises the largest cost line, funding lower prices, which attract more users and sellers, a flywheel that widens the advantage in low-AOV categories where fulfilment cost is decisive.
- **The economics already work underneath the headline.** Positive and growing free cash flow, contribution margin up to ~5% of NMV, a near-breakeven operating result once one-offs are stripped, and a net debt-free balance sheet, a rare profile for a growth-stage marketplace.
- **High-quality offer construction.** 78% of proceeds are fresh capital directed at cloud, AI and marketing; the OFS was pared back; and a blue-chip anchor book (SBI MF, Government of Singapore, Fidelity, BlackRock) validated the pricing.
- **An attractive entry valuation.** 5.3× sales at issue - a discount to consumer-internet peers and roughly 20% below our base-case DCF of ₹138, offering a genuine margin of safety at ₹111.
- **Favourable timing.** An easing rate cycle, record-low inflation and robust GDP, plus first-mover status as India's first listed horizontal e-commerce platform.

8.2 Principal Risks to the Thesis

- **Profitability timing.** Reported breakeven is not expected before ~FY27; the thesis relies on continued operating leverage materialising on schedule.
- **Competitive intensity.** Amazon, Flipkart, Reliance and Myntra wield vastly deeper capital; a determined push down-market would pressure both growth and margin.
- **Margin fragility.** The H1 FY26 contribution-margin dip shows how quickly pricing decisions flow through; competition could force further pass-through.
- **Cash-on-delivery dependence.** ~72% of orders are CoD, raising handling costs, failed-delivery risk and cash-collection exposure across fragmented Valmo partners.
- **Valuation.** After a ~73% re-rating, the price embeds assumptions at least as aggressive as our optimistic scenario; little margin of safety remains for disappointment.
- **Regulatory.** Shifts in India's e-commerce/FDI framework, or CoD and logistics regulation, could alter the operating model.

8.3 SWOT Synthesis

STRENGTHS • Category leadership with 234 mn annual users • Zero-commission, asset-light, capital-efficient model • Valmo logistics cost moat (~67% of shipments) • Positive free cash flow; net debt-free • Industry-leading GMV per employee	WEAKNESSES • Still loss-making on a reported basis • Thin contribution margin (~4-5% of NMV) • Heavy cash-on-delivery reliance (~72%) • Single-market (India) concentration • Low buyer switching costs
OPPORTUNITIES • Deep Tier 2-4 penetration runway • Advertising and fintech monetisation upside • Valmo opened to third-party logistics revenue • AI-led cost and personalisation gains • Continued formalisation of retail	THREATS • Amazon / Flipkart / Reliance competition • Regulatory and FDI-policy shifts • Quick-commerce encroachment on the value buyer • Macro / consumption slowdown • Post-listing valuation de-rating

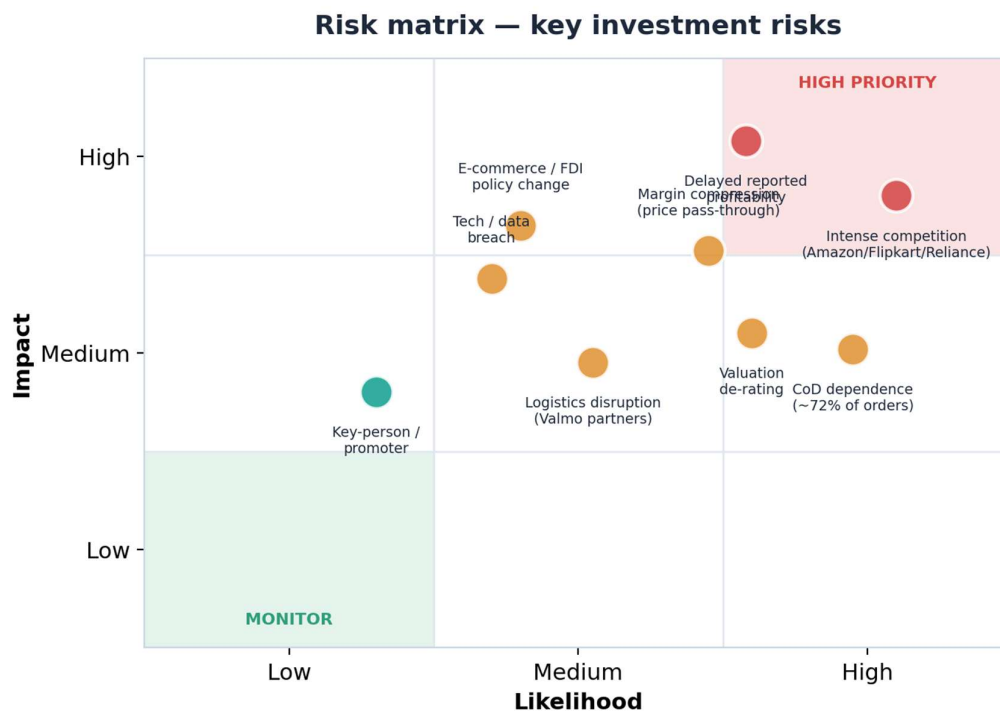


Figure 16 - Risk matrix mapping the principal risks by likelihood and impact. Competition and profitability timing sit in the high-priority quadrant; governance and key-person risks are lower.

8.4 Future Catalysts

The re-rating from here will be decided by a recognisable set of catalysts, positive and negative:

POSITIVE CATALYSTS

- **First reported EBITDA / PAT breakeven** (~FY27) - the single largest re-rating trigger.
- **Monetisation step-up** via higher advertising take-rate and fintech scale.
- **Valmo third-party volumes** opening a new logistics revenue line.
- **Festive-quarter GMV/NMV beats** and sustained 25%+ growth.
- **Index inclusion** and passive inflows as free float seasons.

NEGATIVE CATALYSTS

- **A price war** initiated by a deep-pocketed rival.
- **Contribution-margin erosion** from further price pass-through.
- **Adverse regulation** on e-commerce/FDI, CoD or logistics.
- **Growth deceleration** below ~20% or a weak quarter.
- **Lock-up expiry** creating a pre-IPO investor supply overhang.

9. ESG Analysis

Environmental, social and governance factors are increasingly material to the institutional investors who now dominate Meesho's register. As a newly-listed large-cap, Meesho reports under SEBI's Business Responsibility and Sustainability Reporting (BRSR) framework; the assessment below frames where the company stands on each pillar.

Pillar	Key strengths	Watch-items	Assessment
Environmental	Asset-light model; cloud-efficiency migration	Last-mile emissions; packaging & returns waste	Modest impact
Social	Livelihoods for 700k+ small sellers; consumer inclusion	Gig-partner conditions; data privacy	Clear strength
Governance	Institutional oversight; India domiciles post-flip; BRSR	Founder control; equity-comp disclosure	Reasonable

9.1 Environmental

Meesho's asset-light architecture - no owned inventory and minimal fixed warehousing - gives it a relatively light direct footprint. The material environmental exposures sit in **last-mile logistics and packaging**: a high cash-on-delivery and returns rate in value commerce drives reverse-logistics trips and packaging waste. The ₹1,390 crore cloud-migration spend shifts compute to hyperscale efficiency and creates an opportunity to run on renewable-backed infrastructure. Granular disclosure is expected to develop under BRSR.

9.2 Social

Social value is, arguably, the core of Meesho's equity story. The platform **democratises online selling for 700,000+ small and long-tail merchants** - many first-time online sellers, women entrepreneurs and Tier 2-4 businesses - while bringing millions of first-time, price-sensitive consumers into formal e-commerce. This inclusion narrative is a genuine differentiator. The watch-items are the working conditions of gig and logistics partners in the Valmo network, and data-privacy and consumer-protection obligations toward a largely first-time-online user base.

9.3 Governance

Meesho is founder-led by Vidit Aatrey and Sanjeev Kumar, now subject to the discipline of marquee institutional investors and public-market scrutiny. The reverse-flip to an Indian domicile simplifies regulatory and tax governance and aligns the company with domestic disclosure norms. The scale of FY25 ESOP and reorganisation charges underscores the importance of transparent equity-compensation and related-party disclosure. As a newly-listed company, board independence, promoter holding and minority-shareholder protections warrant ongoing monitoring; the blue-chip anchor participation is an implicit governance validation.

ESG verdict: a broadly favourable profile for the sector. The social pillar is a clear strength and part of the investment case; environmental impact is modest but concentrated in logistics and packaging; governance is reasonable and improving with listing. Logistics-related environmental disclosure and gig-labour practices are the areas to watch.

10. Investment Recommendation

Meesho presents as a **high-quality, category-leading franchise** that came to market at a defensible-to-attractive price and has performed well post-listing. Our assessment weighs a genuinely differentiated model against the risks inherent in any not-yet-profitable growth equity trading at a premium to near-term earnings visibility.

10.1 The Bull Case

- **Structural tailwind.** A ₹83 trillion retail market formalising toward e-commerce, with Meesho positioned at the value end where 75%+ of supply is long-tail/unbranded.
- **Widening moat.** Valmo's rise to ~67% of shipments internalise the largest cost line and deepens the cost advantage in low-AOV categories.
- **Underlying profitability.** Positive and growing free cash flow, a near-breakeven operating result once one-offs are stripped, and a net debt-free balance sheet.
- **Sensible pricing & quality ownership.** A discount to peers, a growth-led (78% fresh) capital structure, and a blue-chip anchor book.

10.2 The Bear Case / Key Risks

- **Still loss-making.** The path to reported profitability depends on continued operating leverage; EBITDA breakeven is not expected before ~FY27.
- **Margin fragility.** The H1 FY26 contribution-margin dip shows how quickly pricing decisions flow through; competition could force further pass-through.
- **Cash-on-delivery dependence.** ~72% of orders are CoD, raising handling costs, failed-delivery risk and cash-collection exposure through fragmented Valmo partners.
- **Formidable competition.** Amazon, Flipkart, Reliance and Myntra have vastly deeper capital; any move down-market intensifies rivalry.
- **Valuation.** At ~₹192 the stock now sits near the top of the intrinsic-value range, having re-rated ~73% from issue - the easy margin of safety has narrowed.

10.3 Verdict

For the IPO allottee: a clear success. The offer was well-priced, the debut strong, and the gains have been sustained. Partial profit-booking after a ~73% run is a reasonable risk-management step, with the residual position held on the strength of the profitability thesis.

For a fresh entrant today: the quality is not in doubt, but the valuation cushion has compressed. We would characterise the stance as **constructive but valuation-disciplined** - a franchise worth owning for investors with a multi-year horizon and tolerance for growth-stage volatility, ideally accumulated on weakness rather than chased at highs. The decisive variable to monitor is the cadence of margin expansion: converting the platform's proven scale into consistent, reported profitability is the catalyst that would justify - and extend - the re-rating.

Disclaimer: This document is an independent academic research exercise prepared for educational and portfolio purposes. It is not investment advice, nor a solicitation to buy or sell any security. The author is not a registered investment adviser. All figures are drawn from publicly available primary filings and cited secondary sources and may contain estimation or transcription error; readers should verify against the company's RHP and exchange disclosures before any decision.

Appendix A - Reconciled Financial Summary

All figures ₹ crore unless stated. Sourced from Meesho RHP/DRHP and reconciled across filings.

Particulars	FY23	FY24	FY25	H1 FY26
Revenue from operations	5,734.5	7,615.1	9,389.9	5,577.5
Total expenditure	-	8,173.7	10,009.3	-
of which: Logistics & fulfilment	4,817	5,926.8	7,352	4,429
of which: Advertising & promotion	928	459.4	643.5	606
of which: Employee benefits	-	757.7	848.1	-
Reported net profit / (loss)	(1,671.9)	(327.6)	(3,941.7)	(700.7)
Operating loss (ex-exceptionals)	-	-	(108.4)	(433)
Free cash flow	(2,336)	+304	+351	-
NMV	-	-	-	19,194
Contribution margin (% of NMV)	2.94%	-	4.95%	3.82%
Annual transacting users (cr)	13.64	-	19.88	23.42*
Placed orders (cr)	-	-	183	126.1

* LTM ended 30-Sep-2025. Dashes denote figures not separately disclosed in the sources consulted.

Appendix B - Primary Sources

Company & regulatory filings

- Meesho Limited - Red Herring Prospectus / DRHP and Price-Band advertisement (SEBI filings, Nov-Dec 2025).
- BSE & NSE - IPO subscription data, allotment and listing-day price records.
- Reserve Bank of India - Monetary Policy Committee statement, 5 December 2025; Monetary Policy Report, October 2025.

Secondary & market data

- Brokerage research: Choice Equity Broking and JM Financial IPO notes (Dec 2025 - Jan 2026), including the three-stage DCF fair-value range.
- Financial press and data aggregators: Business Standard, Moneycontrol, Inc42, Media Nama, INDmoney, Chittorgarh, IPO Ji (for financials, subscription, anchor-book and price data).
- Retail-market sizing (TAM/SAM): Redseer Research, as cited in the RHP and brokerage notes.

Figures were cross-checked across at least two independent sources where feasible; the FY25 loss reconciliation in particular was verified against itemised exceptional-item disclosures.

Appendix C - Model & Methodology Guide

This report is accompanied by three working files that reproduce and extend the analysis. Together they let a reader audit every number and flex the assumptions.

Companion Excel model (Meesho_Financial_Model.xlsx)

- **Financials** - the reconciled income statement, cost structure and operating metrics (blue input cells with source notes).
- **Ratios** - growth, margin, efficiency and valuation ratios computed live from the Financials sheet.
- **DCF** - the ten-year free-cash-flow-to-firm model; edit the yellow assumption cells (growth, FCF margin, WACC, g) and the fair value updates.
- **Sensitivity** - a live two-way grid of fair value per share across WACC and terminal growth.
- **Comps** - the listed-peer comparison with a computed price-to-sales column.

DCF methodology

We discount free cash flow to the firm over a ten-year explicit horizon (FY26E-FY35E), growing revenue at a rate that fades from 30% to 10% and ramping the FCF margin from 2% to 20% as operating leverage accrues. A Gordon-growth terminal value is applied to year-ten FCFF. The base case uses a 13.0% WACC and 5.0% terminal growth, adds ₹2,500 crore of net cash, and divides by 451.3 crore shares to give $\approx$ ₹138 per share. Because the cash-flow stream is independent of the discount rate and terminal growth, the sensitivity grid re-runs the valuation across those two axes without re-forecasting.

Python notebook & Tableau data

A self-contained Jupyter notebook recomputes the ratios, valuation multiples and DCF from the underlying statements and regenerates the core charts, so the analysis can be re-run or updated as new quarters are reported. A tidy CSV dataset and a build guide are provided for constructing the interactive IPO-metrics dashboard in Tableau.